

Sample Investment Allocations

You should make sure that the types of investments in your accounts are reasonable for the type of investor you are. For example, if you're an aggressive investor you might ask yourself or your advisor why your account has a large portion in cash.

Conservative Investor

A conservative investor is mostly concerned with avoiding large losses, and instead, earning income. A conservative portfolio will fluctuate with the stock and bond markets, but it should be less volatile than a more aggressive portfolio.

- 8 percent—Large-cap stocks
- 2 percent—Mid-cap stocks
- 5 percent—Alternative investments
- 6 percent—International stocks
- 5 percent—High-yield bonds
- 19 percent—Intermediate-term bonds
- 40 percent—Short-term bonds
- 15 percent—Cash equivalents

Moderate Investor

A moderate investor wants a balance of long-term growth with moderate volatility. Current income is not a primary goal. The account value will most likely fluctuate more than a conservative investor's account.

- 22 percent—Large-cap stocks
- 8 percent—Mid-cap stocks
- 5 percent—Small-cap stocks
- 10 percent—Alternative investments
- 15 percent—International stocks